# D164 | Funding basis before fee comparison

FICTIONAL offline lab. Rupees lakh, except labeled fractions and multiples. Not a vehicle, solicitation, allocation, tax opinion or investment.

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|---|---|
| **Same total raised** | A raises 400, setup 4 and one-year fee 2% of 400=8 inside capital. Invest 388; at 3 x gross 1164. Return 400 contribution before 20% carry on 764: carry 152.8, LP 1011.2, net 2.528 x. Costs lost at zero proceeds. |
| **Different fee is not better deal** | B has same 400 raise/setup 4 but no management fee: invest 396, gross 1188, carry 157.6, LP 1030.4, multiple 2.576 x. Same gross asset multiple is stipulated; fee advantage not proof of quality or entitlement. |
| **Invest target is not raise target** | To INVEST 400: fixed setup 4 plus separately fixed management 8 requires 412 raised. If fee 2% applies to increased commitments instead, solve C=(400+4)/(1-.02)=412.244898, not 412. Multi-year fee here simple rate times years on original commitments, not compounded. |
| **One carry pool versus layers** | Shared 20% pool split 60/40 gives 12% and 8% of positive defined profit. Sequential 20% then 20% of remaining positive profit gives 36% total, not a shared 20% pool. Return contribution first by stipulation; no hurdle/catch-up/tax/escrow/other expenses. |
| **Gap and legal routes** | Headline allocation 600 minus fund reserves 200 equals 400 funding gap, not authority to invest 200, raise 400, form LLP or solicit LPs. Angel Fund, other Cat I/II CIV/PMS, direct/LLP and GIFT are distinct questions. No route cleared. |
| **Actuals stay blank** | Actual investor, accreditation/residency, fund/PPM, rights, allocation, capital basis, fees, terms, deadline, reviewer and permission unknown. No account, entity, capital call, wire, LP message, filing, contract or spend. |

# Inputs | A stipulated one-year fee, not a market quote

All fictional. Fractions, not percentages. Annual fee times years is a simple total fraction of original commitments.

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| **Total contributed capital lakh** | 400.00 |
| **One-time setup inside capital lakh** | 4.00 |
| **Annual fee fraction on original commitments** | 0.02 |
| **Fee years, simple non-compounding** | 1.00 |
| **Gross proceeds / invested capital multiple** | 3.00 |
| **Carry fraction on positive profit after contributions** | 0.20 |
| **Lead one share of single carry pool** | 0.60 |
| **Second layer carry fraction, sequential example** | 0.20 |
| **Target amount invested, not total raised lakh** | 400.00 |
| **Separately fixed total fee for target illustration lakh** | 8.00 |
| **Headline company allocation lakh** | 600.00 |
| **Available fund reserves lakh** | 200.00 |

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| **Numeric/domain gate (1=yes)** | 1.000000 |

Positive contributed and invested capital required; no negative inputs. Rate/carry/splits 0..1; total simple fee fraction strictly below 1. Strict gate rejects fees exhausting capital. Zero proceeds/carry/years/target allowed; zero invested or contribution makes multiples undefined. No source or legal eligibility gate.

# Waterfall | Capital returned before carry

Authored conditional arithmetic only. Lakh except labeled fractions and multiples. Gate is not investment or legal approval.

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|---|---|
| **A total management fee** | 8.000000 |
| **A invested capital** | 388.000000 |
| **A gross terminal proceeds** | 1164.000000 |
| **A return of contributed capital, limited by cash** | 400.000000 |
| **A positive carry profit base** | 764.000000 |
| **A carry** | 152.800000 |
| **A LP distribution** | 1011.200000 |
| **A net multiple on all contributed capital** | 2.528000 |
| **B invested capital, no management fee** | 396.000000 |
| **B gross terminal proceeds** | 1188.000000 |
| **B carry** | 157.600000 |
| **B LP distribution** | 1030.400000 |
| **B net multiple on all contributed capital** | 2.576000 |
| **B minus A LP cash** | 19.200000 |

Baseline A fee 8/invest 388/gross 1164/carry 152.8/LP 1011.2/net 2.528 x; B 396/1188/157.6/1030.4/2.576 x. No catch-up, hurdle, recycling, taxes, fees outside commitments, discounting, timing or class differences. Gross 3 x is stipulated, not forecast or guaranteed.

# Exit sensitivity | Losing fees, not just company capital

Gross multiples 0/1/3 and user input. All contributed capital includes setup and management fees. Lakh except multiples.

| Asset gross multiple | A gross | A carry | A LP | A net multiple | B LP | B net multiple | B minus A LP cash |
|---|---|---|---|---|---|---|---|
| **0** | 0.000000 | 0.000000 | 0.000000 | 0.000000 | 0.000000 | 0.000000 | 0.000000 |
| **1** | 388.000000 | 0.000000 | 388.000000 | 0.970000 | 396.000000 | 0.990000 | 8.000000 |
| **3** | 1164.000000 | 152.800000 | 1011.200000 | 2.528000 | 1030.400000 | 2.576000 | 19.200000 |
| 3.000000 | 1164.000000 | 152.800000 | 1011.200000 | 2.528000 | 1030.400000 | 2.576000 | 19.200000 |

At 0 both LP 0/carry 0. At 1 x company return A 388/400=.97 x, B 396/400=.99 x, neither returns all contributed capital. Carry begins only ABOVE 400 gross, not above 388/396 invested. No probability distribution, expected return or recommendation. User row follows input; fixed rows remain 0/1/3.

# Target raise | Solve the percentage basis

Authored conditional arithmetic only. Lakh except labeled fractions and multiples. Gate is not investment or legal approval.

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|---|---|
| **Invest target lakh** | 400.000000 |
| **Raise with separately fixed setup and fixed total fee** | 412.000000 |
| **Raise with setup plus percentage of increased commitments** | 412.244898 |
| **Percentage-based total fee** | 8.244898 |
| **Percentage-based invested capital check** | 400.000000 |
| **Percent-basis raise minus fixed-fee raise** | 0.244898 |
| **A company gross multiple needed to return contributions** | 1.030928 |
| **B company gross multiple needed to return contributions** | 1.010101 |
| **Headline allocation minus fund reserves lakh** | 400.000000 |

Baseline fixed 412; percent 412.244898, fee 8.244898, invest 400; difference.244898. Fixed 8 is a separately specified assumption, not recalculated 2% of 412. Capital-return hurdle 1.030928 forA/1.010101 forB; strictly higher gross begins carry. Signed gap is 600-200=400; reserves above headline give negative residual, not an amount to solicit. No time-value hurdle or IRR.

# Carry pools | Sharing and stacking are not equivalent

Authored conditional arithmetic only. Lakh except labeled fractions and multiples. Gate is not investment or legal approval.

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|---|---|
| **A positive profit above all contributed capital** | 764.000000 |
| **Single carry pool** | 152.800000 |
| **Lead one carry** | 91.680000 |
| **Lead two carry** | 61.120000 |
| **Lead one effective profit fraction** | 0.120000 |
| **Lead two effective profit fraction** | 0.080000 |
| **Sequential first layer carry** | 152.800000 |
| **Sequential second layer carry** | 122.240000 |
| **Sequential total carry** | 275.040000 |
| **Sequential effective profit fraction** | 0.360000 |
| **Sequential LP total proceeds** | 888.960000 |
| **Shared-pool LP total proceeds** | 1011.200000 |

Baseline profit 764; single pool 152.8 shared 91.68/61.12, effective 12%/8%. Sequential 152.8+122.24=275.04, 36%; LP 888.96 rather than 1011.2. Layer two applies only to residual positive profit, not capital or whole proceeds. Fictional stack, not a platform fee policy.

# Route issues | Funding gap is not structure clearance

Current source-dated issue map, not legal advice or a personal eligibility determination.

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| **Headline gap** | 600-200=400 lakh. Verify actual allocation, fund mandate, uncalled commitments, cash deadline and rights. No real authority to invest reserves or solicit the gap; company allocation, total raised and invested capital are different. |
| **17A and current Chapter 6** | September 2025 amendment 17A: Cat I/II CIV scheme or co-invest PMS route; Angel Fund cannot launch CIV scheme. Only accredited investors of underlying eligible fund; single investee, no AIF units, relative terms no more favorable and exit timing identical. No blanket LLP/GIFT bypass. |
| **Investor-specific exposure** | Current master 27-28/Chapter 6.1.4: across CIV schemes, cap 3 x that investor contribution to underlying fund investment in SAME investee, not 3 x total fund commitment or fund size. Specified sovereign/development exceptions exist. Excused/excluded/defaulting investor cannot use this route for that company. |
| **Other safeguards** | Separate bank/demat and ring-fencing; no direct/indirect borrowing or leverage. No indirect exposure/receipt or regulatory-disclosure avoidance. Pro-rata rights/distribution with specified carry exception; expenses shared between fund/CIV in investment ratio. These are source requirements, not instructions executed here. |
| **Angel Fund distinct** | Existing Chapter 8 transition/accreditation/first-close source notes remain. No universal old 25-lakh investor ticket or 200 all-investors cap. Actual registration/first-close/investor facts, current regulation chain and optional accreditation safeguards required. No new eligibility decision. |
| **Review boundary** | Domestic Angel Fund, other Cat I/II co-invest, direct investor/LLP and GIFT distinct. Need counsel/FEMA/tax/beneficial-owner/PPM/rights/conflict/consent checks. Current full consolidated law, SFA implementation standards and case documents not established. No entity/account/filing or investment. |

# Private draft | An LP-style learning note, not a message

Write your own approximately 200-word draft before reference. Fictional and private; no recipient, investor or approval to send.

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| **Economic basis** | State 600 headline less 200 fund reserves leaves 400 gap, not confirmed allocation/mandate. Distinguish 400 total raised from 400 target invested. Disclose who bears setup, simple fee years/base and carry waterfall; do not imply toy terms are market quotes. |
| **Gross and net** | Compare same assumed gross asset multiple 3 x: A 1011.2 LP on 400=2.528 x; B 1030.4=2.576 x. Explain total loss, fees lost and long illiquidity. No guaranteed return, live deal, implied entitlement, or gross-versus-net denominator substitution. |
| **Conflicts and rights** | Explain actual allocation/conflict methodology still needed, manager powers, information/confidentiality/transfer/ROFR/access questions, reporting responsibilities and look-through concentration. One cap-table line does not remove underlying compliance or diversify one company. |
| **Eligibility limits** | Separate India routes from US LLC/LP/pass-through/K-1 examples. Accreditation alone does not approve a vehicle or transaction. Current Chapter 6 investor-specific limits and exclusion/default rules may matter; no chosen structure cleared. |
| **What changes conclusion** | Change exit multiple, fee basis, years, total raised/target invested, additional costs/taxes, carry terms, rights, timing, actual eligibility or reviewer evidence. Recompute and explain. Fee advantage alone is not investment merit. |
| **Stop before action** | Private issue-map and draft only. Actual investors, rights, commitment, documents, reviewer and authority blank. No solicitation, capital call, wire, LP update, filing, bank/demat, contract, signup, account, calendar or spend. |

# Actual evidence | Real people and permission blank

Blank means unknown. No allocation, fund mandate, investor eligibility, vehicle or send authority established.

| Case / date | Investor / route | Funds / fee basis | Documents / rights | Conflict / owner | Reviewer / consent | Next safe check |
|---|---|---|---|---|---|---|

No actual vehicle, solicitation, allocation, investment, entity, capital call, wire, reporting recipient, signature, account, filing, calendar or spend. Conditional arithmetic and written source depth do not establish native Excel/Sheets parity, full AV, independent learner, current-law case clearance or overall 10.

# Evidence | Sources are not vehicle approval

Nine URLs/seven publishers across primary law/circulars, legal commentary, practitioner and vendor writing. Not independent investment-performance studies.

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|---|---|
| **Hustle and Last Money In** | Complete returned written Hustle guide/current modifiedOct 2026 and Last Money In 27 Mar 2024 read. US wrapper/K-1/tax/carry examples and sponsor claims not India law or actual vehicle economics. Track-record, collaboration, extreme-return and access claims not independently verified; linked recordings/images not fully reviewed. |
| **Primary SEBI** | September 2025 amendment English 17A/19A-G read; complete returned 9 Sep 2025 CIV circular read. Current 3 Jun 2026 master updated 5 Nov 2026 recovered 156-page PDF; Chapter 6 pages 27-28 read/pixels checked, not all 156 pages. Prior Chapter 8/first-close/accreditation bounds retained; no complete current consolidated law/SFA/case clearance. |
| **AZB commentary** | Complete returned 16 Sep 2025 article read and compared to primary. Its prose calls fee per scheme; amendment second schedule says fee for filing shelf placement memorandum. Do not turn summary into per-scheme cost quote or assume all filing mechanics cleared. Primary controls. |
| **Vendor mechanics** | Allocations 4 Sep 2026 article read: admin cash, optional management fee and carry distinct. Its price, 0%platform carry and linkedfee/IRS/FINRA assertions not separately validated here, not used as toy inputs. AngelList current pricing page read: 8 kheadline excludes FAQ 2 kstate fee; optional add-ons/follow-on conditions. No conversion to India toyfees or vendor recommendation. |
| **Lets Venture recovered** | Current public homepage successfully fetched after earlier timeout. Observed LVXbranding, AIF/syndicate routes and product marketing, not live deal availability, fees, eligibility, investor statistics, performance, legal clearance or account entitlement. No signup or provider action. |
| **Remaining bounds** | No full source recordings/charts, native Excel/Sheets parity, independent learner/account/field, current-law/FEMA/tax/case review or overall 10. All actuals blank. Authored arithmetic checked only; no execution, financial recommendation, consent or investor solicitation. |

Source 1 | open verified source
Source 2 | open verified source
Source 3 | open verified source
Source 4 | open verified source
Source 5 | open verified source
Source 6 | open verified source
Source 7 | open verified source
Source 8 | open verified source
Source 9 | open verified source

# Failure log | Authored controls, not invested capital

Real documents, investor eligibility, reviewer and permission unknown. No entity, investment, account or overall 10.

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|---|---|
| **1** | PASS: 65 baseline formulas independently recomputed. |
| **2** | PASS: 12 changed sets / 780 checks. |
| **3** | PASS: 17 boundaries / 1105 checks. |
| **4** | PASS: 34 invalid sets / 2210 checks. |
| **5** | PASS: 81 fee/exit/carry/split combinations, 5265 checks. |
| **6** | PASS: 6 broken references; baseline restored; actuals blank. |
| **7** | PASS: contribution basis, fixed/percentage target and carry layers distinct. |
| **8** | Authored only; not vehicle/investment/legal/learner/overall 10. |